

Final Pitch: Notes & Working Document

Trade: 3m10y Payer Spread | **Long:** ATM+10 (4.336%) | **Short:** ATM+50 (4.736%)

Notional: \$250mm per leg | **Expiry:** 10/27/2026 | **Model:** Normal (Bachelier) | **ATM fwd:** 4.234% | **3m10y ATM Nvol:** 74.12 bps

Prepared: 07/27/2026 | **Pitch Date:** 07/30/2026

Headline (on \$250mm): Max loss \$1.61mm | Max gain \$6.52mm | R/R 4.05:1 | Breakeven at 10y swap fwd ~4.42% | Max gain at 10y swap fwd $\geq 4.736\%$

Executive Summary

New 10–12.5% Section 301 tariff regime effective July 24, 2026 (60 partners, 99.4% of US imports) layers cost-push inflation onto an existing oil shock (Brent ~\$100, 13 consecutive nights of US-Iran strikes). The Fed under Warsh is politically and structurally constrained from delivering a Volcker response — the June dot plot split 9-9 on 2026 hikes, Warsh himself declined to submit projections. The market adjustment will happen at the long end via term premium re-emergence (NY Fed ACM 10y term premium already +50 bps, first sustained positive reading since 2015), not at the front end via aggressive hikes.

Expression: buy 3m10y payer at ATM+10 (4.336%), sell 3m10y payer at ATM+50 (4.736%), DV01-weighted at \$250mm per leg. Structure captures directional bear exposure to 10y swap rates with defined risk (bounded loss = premium) and positive convexity from the long leg. Vega is a secondary tailwind — implied vol tends to reprice higher in the same catalyst environment that moves rates.

Macro Thesis

The core disagreement with the market

The instinctive 2022 playbook says tariffs + inflation = bear flattener: Fed hikes aggressively, front end sells off harder than back end, 2s10s inverts. That regime required a Fed willing and able to deliver 500+ bps of hikes.

2026 is a different regime for three specific reasons:

#	Regime factor	2022 playbook	2026 reality
1	Inflation type	Demand-pull + supply	Cost-push only (tariffs, oil)
2	Fed capacity	525 bps of hikes delivered	50–75 bps max (Warsh + political)
3	What sells off	Front end (2s10s inverted to –108)	Belly + long end (steepener)
	Primary driver	Policy expectations channel	Term premium + inflation risk premium

Historical parallel: the 1970s stagflation era saw curves steepen during Volcker's early cycles because term premium and inflation risk premium exploded even as the Fed hiked. More recently, post-SVB 2023: 10y sold off from 3.30% to 5.00% while the Fed only hiked 100 bps — the entire move was term premium and long-end supply, not policy expectations.

Current macro data anchoring the trade

Indicator	Current	Comment
Headline CPI y/y (Jun)	3.5%	Down from 4.2% May peak; energy base effect
Core CPI y/y (Jun)	2.6%	Shelter 3.3% (smallest m/m since Jan 2021)
Core PCE y/y (May)	3.4%	Highest since Oct 2023
Fed Funds	3.50–3.75%	Hold since 2025; dot plot 9-9 on 2026 hikes
2s10s (Treasury)	+36 bps	From +10 bps in Feb 2026
10y term premium (ACM)	~+50 bps	First sustained positive since 2015
Brent	~\$100	+30% MTD on Iran conflict
Payrolls (Jun)	+57k	3m avg 111k; 12m avg 42k
ISM Mfg (Jun)	53.3	Prices Paid 73.0 (from 82.1 May)
10y UST yield	~4.67%	Near YTD highs
10y swap fwd (3m)	4.234%	Per SWPM
3m10y ATM Nvol	74.12 bps	Per VCUB, dated 07/27/2026

Vol Surface Context (VCUB)

The USD RFR Normal (Bachelier) vol cube dated 07/27/2026. The 3m10y ATM normal vol reads **74.12 bps** — this is the market-priced 1-year standard deviation of the 3m-forward 10y swap rate. Scaled to the 3-month horizon: 1-sigma expected move = $74.12 \times \sqrt{0.25} = \mathbf{37.06 \text{ bps}}$.

ALLS US SPR NVL SOFR-25 3M10Y ... SWPM Swap Manager												
VCUB Interest Rate Volatility Cub X +												
< > Buy 5Y/Sell 30Y Index ▾ VCUB ▾ Related Functions Menu ▾												
92) Actions ▾ 93) Settings ▾												
USD ▾ RFR ▾ USD RFR BVOL Cube (Default) ▾ Mid ▾ Date 07/27/26 📅 ⚙️ Use TS Admin Cube												
95) Analyze Cube 96) Market Data												
Swap Curve (490) USD SOFR (Index Tenor 1D ▾ Show Vol Normal ▾												
View Strike ▾ ATM ▾ Show Strikes												
Table Charts												
Expiry	1Yr	2Yr	3Yr	4Yr	5Yr	7Yr	10Yr	12Yr	15Yr	20Yr	25Yr	30Yr
1Mo	85.73	95.59	91.40	88.46	86.66	78.50	71.46	69.83	67.48	63.94	62.34	60.34
3Mo	91.89	96.87	93.65	90.46	87.30	81.47	74.12	72.13	69.26	65.74	63.93	62.69
6Mo	95.69	97.28	94.22	90.99	87.79	82.69	76.81	75.05	72.50	69.71	68.24	67.23
9Mo	99.07	98.41	94.70	91.54	88.50	84.12	79.15	77.56	75.26	72.85	71.33	70.52
1Yr	99.83	97.73	94.66	91.45	88.42	84.58	80.56	79.15	77.12	75.28	73.71	73.13
2Yr	97.52	94.67	91.96	90.02	88.13	84.88	82.16	81.10	79.58	78.05	77.04	76.63
3Yr	94.28	92.55	90.71	88.98	87.30	85.13	82.97	81.89	80.35	78.99	77.98	77.65
4Yr	92.07	90.92	89.76	88.17	86.68	85.09	83.38	82.30	80.74	79.53	78.53	78.25
5Yr	90.83	89.49	88.55	87.45	86.43	85.05	83.57	82.45	80.83	79.76	78.78	78.50
6Yr	89.48	88.70	87.56	86.76	86.04	84.81	83.48	82.31	80.61	79.66	78.65	78.45
7Yr	88.25	87.69	86.70	86.08	85.59	84.46	83.23	82.04	80.33	79.44	78.49	78.32
8Yr	87.24	86.77	85.90	85.46	85.07	84.06	82.94	81.80	80.15	79.31	78.31	78.18
9Yr	86.79	86.13	85.23	84.93	84.63	83.66	82.62	81.48	79.82	79.07	78.12	77.96
10Yr	86.17	85.54	84.55	84.30	84.05	83.06	81.95	80.84	79.25	78.51	77.60	77.39
12Yr	85.27	84.83	83.82	83.42	83.05	82.02	80.84	79.75	78.18	77.39	76.47	76.34
15Yr	83.90	83.85	82.70	82.09	81.56	80.42	79.15	78.04	76.45	75.66	74.85	74.76
20Yr	82.63	82.25	80.62	79.69	78.84	77.86	76.75	75.58	73.90	73.06	72.47	72.44
25Yr	79.81	79.50	78.71	77.35	76.05	75.22	73.98	72.83	71.18	70.43	69.85	69.89
30Yr	76.72	76.77	75.57	75.66	75.72	75.22	75.28	75.26	75.26	75.26	75.26	75.26
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Bloomberg VCUB: USD RFR Normal Vol Cube, 07/27/2026. 3m10y ATM Nvol = 74.12 bps.

Implied distribution of 10y swap fwd at expiry (10/27/2026)

Statistic	Level	Distance from ATM (bps)	Prob 10y fwd ≥ level
ATM (current fwd)	4.234%	0	50%
Long strike (ATM+10)	4.336%	10	~39%
Breakeven	~4.420%	~19	~30%
+1σ (3m)	~4.605%	37	~16%
Short strike (ATM+50)	4.736%	50	~9%
+2σ (3m)	~4.976%	74	~2.5%

Probabilities computed assuming a normal distribution centered at 4.234% with 3m stdev of 37 bps — direct implication of the VCUB Nvol. Read this as the market's own view: a 9% chance the trade prints max gain, a 30% chance it breaks even, and a 60% probability the position is worth less than the premium paid at expiry.

Payer skew (interpretation)

Backing out implied normal vol at each strike from SWPM prices shows a **mild positive payer skew**: ~+5 bps normal vol at ATM+50 vs. ATM. The market is not aggressively pricing tail risk of upside rate moves. For the thesis (that upside rate risk is under-priced), this is favorable: the OTM protection you're buying via the payer spread is not richly-priced.

Strike	Implied Nvol (approx, bps)	Skew vs ATM (bps)
ATM (4.232%)	75.5	0
ATM+10 (4.336%)	76.0	+0.5
ATM+25 (4.484%)	77.3	+1.8
ATM+35 (4.584%)	78.5	+3.0
ATM+50 (4.736%)	80.5	+5.0

Trade Structure & Bloomberg Pricing

Recommended: Long ATM+10 / Short ATM+50

Field	Long leg	Short leg
Position	Buy Payer	Sell Payer
Strike	4.335927% (ATM+10)	4.735927% (ATM+50)
Notional	\$100mm (scale to \$250mm for pitch)	\$100mm (scale to \$250mm for pitch)
Style	European	European
Expiry	10/27/2026	10/27/2026
Swap start	10/29/2026	10/29/2026
Swap end	10/29/2036	10/29/2036
Delivery	Price (Cash)	Price (Cash)
Model / Vol type	Normal / Normal	Normal / Normal

ALLS US SPR NVL S...VCUB Interest Rat...SWPM Swap Man: XSWPM Swap Mana...FLDS Buy 5Y/Sell ...SWPM Swap Mana...+

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DealPayer Spread ▾CounterpartyIRS CNTRPARTY ▾+ Ticker / IRS20) Properties

StrategyValuation Settings

Notional100MMNotional100MMCurve Date07/27/2026

CurrencyUSD ▾CurrencyUSD ▾Valuation07/27/2026

Strike4.335927 %Strike4.735927 %ModelNormal ▾

PositionLong PayerPositionShort PayerVolatility TypeNormal ▾

StyleEuropean ▾StyleEuropean ▾CSA Coll CcyUSD ▾

Type3M X 10YType3M X 10Y☒ OIS DC Stripping

Expiration10/27/2026Expiration10/27/2026

Swap Start10/29/2026Swap Start10/29/2026

Swap End10/29/2036Swap End10/29/2036

Notification Days2 BD ▾Notification Days2 BD ▾

DeliveryPrice (Cash) ▾DeliveryPrice (Cash) ▾

Fee Date10/27/2026Fee Date10/27/2026

Fee(Pay)0.00Fee(Receive)0.00

☒ Premium Paid At Expiry61) Details☒ Premium Paid At Expiry62) Details

Market↻

Valuation Results

Side	PV	Premium	DV01	Gamma (1bp)	Vega (1bp)	Theta (1-day)
Long Payer	856,723.99	0.86	-31,481.44	779.90	15,572.39	-6,265.37
Short Payer	-213,618.84	-0.21	10,010.77	-370.26	-8,271.73	2,664.18
Net	643,105.16	0.64	-21,470.67	409.64	7,300.67	-3,601.19

Bloomberg SWPM: Payer Spread ATM+10 / ATM+50, \$100mm per leg, 07/27/2026 valuation.

Bloomberg SWPM Output (as displayed, \$100mm per leg)

Metric	Long Payer (4.336%)	Short Payer (4.736%)	Net
PV (\$)	856,724	-213,619	643,105
Premium (% of notional)	0.86	-0.21	0.64
DV01 (\$ / bp)	-31,481	+10,011	-21,470
Gamma (1bp, \$)	779.90	-370.26	409.64
Vega (1bp of Nvol, \$)	15,572	-8,272	7,300
Theta (1 day, \$)	-6,265	+2,664	-3,601

Bloomberg DV01 sign convention: PV change per 1 bp DECLINE in underlying fwd rate. Negative DV01 on long payer means position loses on a rate rally (and gains on a rate sell-off).

Position Scaled to \$250mm per Leg

All Greeks and P&L below are the SWPM output multiplied by 2.5 to reflect the pitched sizing of \$250mm per leg.

Metric	Value (\$250mm/leg)	Interpretation
Net premium (max loss)	\$1,607,763	Bounded downside — pay at expiry
Net DV01	−\$53,675 / bp	+\$53.7k P&L per 1 bp rise in 10y swap fwd
Net gamma	+\$1,024 / bp	DV01 grows by \$1,024 for each bp of rate rise (convex)
Net vega	+\$18,250 / bp of Nvol	+\$18.25k P&L per 1 bp rise in 3m10y implied vol
Net theta	−\$9,003 / day	Time decay while position is open
Total theta over 3m	~\$810k	If nothing moves, ~half of premium lost to decay
Max gain	\$6.52mm	10y swap fwd $\geq$ 4.736% at expiry
R/R	4.05 : 1	Risk-defined asymmetry
Breakeven	10y swap fwd ~4.42%	~19 bps sell-off from current 4.234%

P&L Scenario Table (at expiry, \$250mm/leg)

10y swap fwd at expiry	Long payer intrinsic (\$)	Short payer intrinsic (\$)	Gross intrinsic (\$)	Net P&L (\$)
$\leq$ 4.336% (long strike)	0	0	0	−1,607,763
4.420% (breakeven)	~1,608k	0	~1,608k	~0
4.500%	~3,330k	0	~3,330k	+1,722k
4.600%	~5,360k	0	~5,360k	+3,752k
4.736% (short strike)	~8,120k	0	~8,120k	+6,512k
4.900% (further OTM)	~11,450k	~3,330k	~8,120k	+6,512k (capped)
5.100%	~15,510k	~7,390k	~8,120k	+6,512k (capped)

Intrinsic values computed as $(F - K) \times \text{annuity} \times \text{notional}$, using derived annuity ≈ 8.12 (backed out from ATM Bachelier price with $Nvol = 74.12$ bps).

Alternative Strike Combos Considered

Five payer spread structures were priced in SWPM on 07/27/2026 with \$100mm/leg. Numbers below are directly from Bloomberg. The recommended structure is highlighted.

Combo	Long / Short strikes	Width (bps)	Net prem (\$)	Net DV01	Net Vega	Max gain (\$) [\$100mm]	R/R
1 ★	ATM+10 / ATM+50	40	643,105	−21,470	7,300	~2.61mm	4.05:1
2	ATM+5 / ATM+50	45	800,581	−25,450	7,709	~2.77mm	3.46:1
3	ATM / ATM+35	35	841,863	−23,927	4,939	~1.94mm	2.30:1
4	ATM+15 / ATM+25	10	212,806	−6,634	1,736	~0.58mm	2.72:1
5	ATM+20 / ATM+30	10	178,875	−5,975	1,923	~0.61mm	3.39:1

★ = recommended structure.

Per-strike leg reference (long payer, \$100mm, 3m10y European)

Since payer swaptions at the same strike have identical pricing regardless of long/short direction (short leg = long leg with signs flipped), the table below fully decomposes every combo. Any new spread can be constructed by subtracting the short-strike row from the long-strike row.

Strike	Label	PV (\$)	Prem (%)	DV01 (\$/bp)	Gamma	Vega	Theta (1d)
4.232%	ATM	1,200,232	1.20	−39,691	815.12	16,125	−6,586
4.286%	ATM+5	1,014,200	1.01	−35,461	805.23	15,981	−6,501
4.336%	ATM+10	856,724	0.86	−31,481	779.90	15,572	−6,265
4.384%	ATM+15	721,632	0.72	−27,730	741.67	14,941	−5,903
4.433%	ATM+20	605,103	0.61	−24,230	694.07	14,126	−5,463
4.484%	ATM+25	508,826	0.51	−21,097	640.26	13,205	−4,969
4.533%	ATM+30	426,228	0.43	−18,255	583.83	12,203	−4,469
4.584%	ATM+35	358,368	0.36	−15,764	526.62	11,186	−3,966
4.736%	ATM+50	213,619	0.21	−10,011	370.26	8,272	−2,664

Bloomberg SWPM — Alternative Combos Pricing

These screenshots document the pricing of the alternative combos.

ALLS US SPR NVL SOFR-25 3M10Y ... SWPM Swap Manager VCUB Interest Rate Volatility Cube

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Deal Payer Spread Counterparty IRS CNTRPARTY Ticker / IRS 20) Properties

Strategy SLQ4RYNW SLQ4RYNX Valuation Settings

Notional 100MM Notional 100MM Curve Date 07/27/2026

Currency USD Currency USD Valuation 07/27/2026

Strike 4.285927 % Strike 4.735927 % Model Normal

Position Long Payer Position Short Payer Volatility Type Normal

Style European Style European CSA Coll Ccy USD

Type 3M X 10Y Type 3M X 10Y ☒ OIS DC Stripping

Expiration 10/27/2026 Expiration 10/27/2026

Swap Start 10/29/2026 Swap Start 10/29/2026

Swap End 10/29/2036 Swap End 10/29/2036

Notification Days 2 BD Notification Days 2 BD

Delivery Price (Cash) Delivery Price (Cash)

Fee Date 10/27/2026 Fee Date 10/27/2026

Fee(Pay) 0.00 Fee(Receive) 0.00

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Market

Valuation Results

Side	PV	Premium	DV01	Gamma (1bp)	Vega (1bp)	Theta (1-day)
Long Payer	1,014,199.73	1.01	-35,460.65	805.23	15,980.92	-6,500.84
Short Payer	-213,618.84	-0.21	10,010.77	-370.26	-8,271.73	2,664.18
Net	800,580.89	0.80	-25,449.88	434.97	7,709.20	-3,836.65

SWPM: Long ATM+5 (4.286%) / Short ATM+50 (4.736%). Net premium 0.80%. Combo 2.

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Swap End

Notification Days

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Fee Date

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☒ Premium Paid At Expiry

61) Details

Payer Spread ▾

100MM

USD ▾

4.232339 %

Long Payer ▾

European ▾

3M ☒ 10Y

10/27/2026

10/29/2026

10/29/2036

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Price (Cash) ▾

10/27/2026

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Expiration

Swap Start

Swap End

Notification Days

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☒ Premium Paid At Expiry

62) Details

IRS CNTRPARTY ▾

100MM

USD ▾

4.583602 %

Short Payer ▾

European ▾

3M ☒ 10Y

10/27/2026

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2 BD ▾

Price (Cash) ▾

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07/27/2026

07/27/2026

Normal ▾

Normal ▾

USD ▾

Market

Valuation Results

Side	PV	Premium	DV01	Gamma (1bp)	Vega (1bp)	Theta (1-day)
Long Payer	1,200,231.55	1.20	-39,691.12	815.12	16,125.25	-6,585.74
Short Payer	-358,368.32	-0.36	15,763.81	-526.62	-11,186.04	3,966.07
Net	841,863.23	0.84	-23,927.30	288.50	4,939.21	-2,619.67

SWPM: Long ATM (4.232%) / Short ATM+35 (4.584%). Net premium 0.84%. Combo 3.

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Payer Spread
Counterparty
IRS CNTRPARTY

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Curve Date
Valuation
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Volatility Type
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Notional: 100MM
Currency: USD
Strike: 4.383602 %
Position: Long Payer
Style: European
Type: 3M X 10Y
Expiration: 10/27/2026
Swap Start: 10/29/2026
Swap End: 10/29/2036
Notification Days: 2 BD
Delivery: Price (Cash)
Fee Date: 10/27/2026
Fee(Pay): 0.00
Premium Paid At Expiry: ☒

Notional: 100MM
Currency: USD
Strike: 4.483602 %
Position: Short Payer
Style: European
Type: 3M X 10Y
Expiration: 10/27/2026
Swap Start: 10/29/2026
Swap End: 10/29/2036
Notification Days: 2 BD
Delivery: Price (Cash)
Fee Date: 10/27/2026
Fee(Receive): 0.00
Premium Paid At Expiry: ☒

Market

- Valuation Results

Side	PV	Premium	DV01	Gamma (1bp)	Vega (1bp)	Theta (1-day)
Long Payer	721,632.00	0.72	-27,730.28	741.67	14,940.63	-5,902.61
Short Payer	-508,826.26	-0.51	21,096.50	-640.26	-13,204.65	4,969.30
Net	212,805.74	0.21	-6,633.78	101.41	1,735.99	-933.30

SWPM: Long ATM+15 (4.384%) / Short ATM+25 (4.484%). Net premium 0.21%. Combo 4.

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Payer Spread ▾

Counterparty

IRS CNTRPARTY ▾

+ Ticker / IRS

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Swap Start

Swap End

Notification Days

Delivery

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Position

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Swap End

Notification Days

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Fee(Receive)

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Valuation Settings

Curve Date

Valuation

Model

Volatility Type

CSA Coll Ccy

☒ OIS DC Stripping

Market

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Valuation Results

Side	PV	Premium	DV01	Gamma (1bp)	Vega (1bp)	Theta (1-day)
Long Payer	605,102.77	0.61	-24,230.37	694.07	14,126.16	-5,463.37
Short Payer	-426,227.74	-0.43	18,255.48	-583.83	-12,203.38	4,468.82
Net	178,875.02	0.18	-5,974.89	110.24	1,922.79	-994.55

SWPM: Long ATM+20 (4.433%) / Short ATM+30 (4.533%). Net premium 0.18%. Combo 5.

The Greeks — Explained for Recommended Trade

Each Greek measures the sensitivity of position PV to one input. Values shown are on \$250mm per leg.

Delta (via DV01) — sensitivity to underlying rate

+\$53,675 per bp rise in 10y swap fwd. This is the primary Greek. Every basis point that the 10y forward rises above current gives ~\$53.7k of P&L. It is not constant — as time passes and rates move, DV01 changes (that's gamma). The trade is dominated by this exposure. If someone asks 'what primarily drives your P&L?' — this.

Gamma — how delta changes as rates move

+\$1,024 per bp change in DV01. Positive convexity. Every 1 bp move up in the fwd rate adds ~\$1,024 to your DV01, meaning each subsequent bp is worth more than the last. This is the mechanical reason the trade P&L is asymmetric: big favorable moves are worth disproportionately more; big adverse moves shrink DV01 so incremental losses taper. Gamma is what you're paying premium for.

Example: today DV01 = \$53.7k/bp. After 20 bps rate rise, DV01 becomes ~\$74.1k/bp. After 50 bps rate rise, DV01 becomes ~\$104.6k/bp.

Vega — sensitivity to implied vol

+\$18,250 per bp rise in 3m10y implied normal vol. Long ATM+10 has more vega (\$15.6k) than short ATM+50 gives up (\$8.3k), so the position is net long vega. If implied vol reprices from 74 bps to 84 bps (a 10 bp rise), position gains ~\$182.5k in MTM even without a rate move. This is a secondary tailwind — implied vol tends to rise in the same catalyst environments that move rates.

Theta — time decay

-\$9,003 per calendar day. The cost of holding convexity. If the market moves nowhere for the full 3 months, the position bleeds ~\$810k to decay (roughly half the premium). Theta accelerates into expiry, so the last 3–4 weeks are worst. Trader implication: the thesis needs to play out in the first month or so to build a lead against decay.

Is this a vol trade?

No. This is a **directional trade with defined risk and convexity, structured via options**. The reason to use swaptions vs. an outright 10y swap is not vega — it is: (1) defined downside (max loss = premium); (2) positive convexity (gamma amplifies favorable moves); (3) cheaper premium via the OTM short leg financing the ATM+10 long leg. Vega comes along for the ride as a byproduct.

A pure vol trade would be delta-hedged (straddle, vega-weighted risk reversal, calendar spread). This position runs delta risk intentionally — it's a bear-directional bet on 10y rates.

Risks & Mitigants

Risk	Probability	Mitigant / Comment
Iran de-escalation (Brent to \$70)	Medium	Tariff regime is independent driver; term premium story survives; max loss capped
Fed surprise cut on labor crack	Medium	Whole curve rallies; bounded to \$1.61mm premium loss
Fed hikes aggressively (bear flattener)	Low	Warsh + political context make Volcker-style response unlikely
Vol collapse before catalyst window	Low	3m expiry captures 150 bps; FOMC, Q2 GDP, June PCE, July CPI, Aug payrolls, Sept FOMC
Section 301 struck down in court	Low near-term	Established statute (unlike IEEPA); oil story sustains thesis
Slow bleed / no catalyst	Medium	Theta bleed — need first-month move to build P&L cushion

What breaks the trade

Verifiable, sustained Iran ceasefire AND court strike-down of Section 301 AND soft July/August CPI prints — all three would need to happen. Any one alone leaves at least one supporting leg of the thesis intact. Base case worst outcome is loss of premium (\$1.61mm on \$250mm), which is bounded by construction.

Why Swaptions, Not an Outright Swap

Instrument	Loss profile	Convexity	Vega exposure	Cost	When appropriate
Outright 10y payer swap	Unlimited	None (linear)	None	None (no premium)	Extreme directional conviction
Outright 3m10y payer	Bounded (premium)	Positive	Long	High premium	Directional + tail hedge
Payer spread (recommended)	Bounded (premium)	Positive	Long (smaller)	Moderate premium	Directional, defined risk
Straddle	Bounded (premium)	High	Long (large)	Highest premium	Pure vol trade

Ordered reasons for the spread structure: (1) defined downside vs. unlimited-loss swap; (2) positive convexity — accelerating P&L on the good outcome; (3) cheaper premium than an outright payer via the short leg financing; (4) secondary vega tailwind in the catalyst environment.

Anticipated Q&A

Q: Why not just buy the 10y payer outright?

A: Two reasons: (1) the short ATM+50 leg finances ~25% of the long leg premium — \$1.61mm net vs \$2.14mm outright; (2) at ATM+50, delta is only ~0.13, so you're monetizing a low-probability tail while giving up minimal upside on the meaningful part of the payoff distribution.

Q: Why 3m expiry and not 6m?

A: Catalyst density: FOMC July 29, Q2 GDP July 30, June PCE July 31, July CPI Aug 12, July payrolls Aug 7, Sept FOMC Sept 16 — all in-window. Vol term structure is nearly flat (3m10y at 74.1, 6m10y at 76.8), so 6m adds premium without proportionally more catalyst exposure.

Q: Is this a vol trade?

A: No — directional trade with defined-risk options structure. Primary P&L; driver is delta (\$53.7k/bp). Vega (\$18.25k per bp of vol) is secondary tailwind. A vol trade would be delta-neutral; this position runs delta risk intentionally to express the bear thesis on rates.

Q: What happens on a Fed surprise cut?

A: If cut is preemptive on labor market shock, whole curve rallies and I lose the \$1.61mm premium — bounded. If cut is stimulative and market reads it as Fed abandoning credibility, front rallies but long end sells off on eroded credibility — that's actually good for the position.

Q: Show me historical distribution of 3m 10y swap moves.

A: Using VCUB 3m10y normal vol of 74.12 bps, 1-sigma 3m move is 37 bps. A 19-bp sell-off (breakeven) is a 0.52-sigma move — probability ~30%. A 50-bp sell-off (max gain) is a 1.35-sigma move — probability ~9%.

Q: Why 10y and not 5y or 30y?

A: 10y is the belly where term premium repricing shows up cleanest. 5y is more anchored by Fed policy expectations. 30y has idiosyncratic supply dynamics (Treasury auction concessions) that add noise. 10y is the instrument most correlated with the thesis.

Q: What's your correlation to the desk's existing book?

A: For a rates macro book, this correlates positively with any existing bear steepener or short duration expression, and negatively with (diversifies) long duration positions. For SPG mortgage books, this partially hedges primary mortgage rate risk — if 10y sells off and origination volumes drop, this position prints.

Q: What breaks the trade?

A: Simultaneous: Iran ceasefire AND Section 301 struck down AND soft CPI prints. Any one alone leaves supporting legs intact. Worst realistic case is total premium loss = \$1.61mm.

Appendix A — Vol Trade vs. Directional (with vol exposure)

Common confusion, worth having rehearsed. If asked '*is this a vol trade?*' the wrong instinct is to say yes because you're long vega. The right answer:

A vol trade is delta-hedged by construction — the position's P&L is insensitive to the direction the underlying moves; it only cares about realized vs. implied vol. Examples: long straddle with delta hedge, vega-weighted risk reversal, calendar spread on vol.

A directional options trade uses options for their non-linear payoff profile (defined risk, convexity) while running deliberate delta risk. Vega is a byproduct exposure that either helps or hurts depending on how vol moves relative to your directional view.

This pitch is category two. Delta > gamma > vega > theta in order of importance to the P&L narrative.

Appendix B — Key market data references

Bloomberg tickers used: USGG10YR Index, USSW10 Curncy, USYC2Y10 Index, MOVE Index, VCUB screen. NY Fed ACM 10y term premium series. BLS CPI/PCE releases. BEA GDP releases. ISM Manufacturing and Services reports. All as of 07/27/2026.

Appendix C — Sizing rationale

\$250mm per leg selected as mid-conviction sizing. On a hypothetical \$500mm book, this represents ~0.32% max loss ($1.61 / 500$). Trade could be scaled to \$500mm or \$1bn without becoming imprudent given the bounded-loss profile. For pitch purposes, \$250mm balances materiality (P&L numbers large enough to matter) with appropriate humility for a summer analyst.